ST PHILOMENA'S COLLEGE (AUTONOMOUS), MYSURU
II Semester– Final Examination – May 2026
Title: Financial Accounting and Reporting

Time: 3 hours — Maximum Marks: 80

PART – A

Answer any TWO of the following questions: (2x15=30)

1. Trail Balance of a firm of X and Y as on31st March 2025, Prepare the Final Accounts

Trading Account for the year ended 31-03-2025			
Particulars	**Amount (Rs.)**	**Particulars**	**Amount (Rs.)**
To Opening Stock	9,000	By Sales	1,19,000
To Purchases	64,500	Less: Sales Return	2,000
To Wages	10,000	Net Sales	1,17,000
Add: Outstanding Wages	2,100	By Closing Stock	16,000
	12,100		
To Manufacturing Expenses	12,000		
To Excise Duty	6,000		
To Gross Profit c/d	**29,400**		
Total	**1,33,000**	**Total**	**1,33,000**
Profit and Loss Account for the year ended 31-03-2025			
Particulars	**Amount (Rs.)**	**Particulars**	**Amount (Rs.)**
To Salaries	8,000	By Gross Profit b/d	29,400
Add: Outstanding Salary	1,500	By Discount Received	500
	9,500		
To Insurance	1,500		
To Postage	100		
To Advertising	1,000		
To Bad Debts	300		
Add: Further Bad Debts	400		
To Depreciation on:			
Land & Building @ 5%	4,500		
Plant & Machinery @ 5%	3,500		
Furniture @ 10%	100		
Total Depreciation	8,100		
To Net Profit transferred to Capital A/cs	**9,000**		
Total	**29,900**	**Total**	**29,900**

Balance Sheet as on 31-03-2025			
Liabilities	**Amount (Rs.)**	**Assets**	**Amount (Rs.)**
Creditors	42,000	Cash in Hand	500
Bills Payable	12,000	Cash at Bank	49,000
Outstanding Salaries	1,500	Debtors	25,400
Outstanding Wages	2,100	Less: Further Bad Debts	400
Capital Accounts:		Net Debtors	25,000

X's Capital	80,000	Closing Stock	16,000
Add: Share of Profit	4,500	Land & Building	90,000
	84,500	Less: Depreciation	4,500
Less: Drawings	1,800	Net Value	85,500
	82,700	Plant & Machinery	70,000
Y's Capital	1,00,000	Less: Depreciation	3,500
Add: Share of Profit	4,500	Net Value	66,500
	1,04,500	Furniture	1,000
Less: Drawings	1,400	Less: Depreciation	100
	1,03,100	Net Value	900
Total	**2,43,400**	**Total**	**2,43,400**

2. **Valuation of Shares of Amit Company Ltd.**
   (A) Net Asset Method

Step 1: Adjusted Value of Assets		
Assets	**Book Value (Rs.)**	
Buildings	1,10,000	2,40,000
Machinery	1,30,000	1,20,000
Trade Marks	20,000	20,000
Stock	48,000	48,000
Debtors	88,000	72,000
Cash at Bank	52,000	52,000
Goodwill	—	1,60,000
Underwriting Commission	12,000	—
Total Assets		**7,12,000**
Step 2: External Liabilities		
Liabilities	**Amount (Rs.)**	
Sundry Creditors	1,28,000	
Tax Liability	45,000	
Total External Liabilities	**1,73,000**	
Step 3: Net Assets		
Total Assets		**7,12,000**
Total External Liabilities		**1,73,000**
Net Assets		**5,39,000**
Step 4: Value per Equity Share		
Number of Equity Shares		4,000
Value per Share= 5,39,000 / 4000 = 134.75		

(B) Yield Method

Step 1: Calculate Average Profit	
Year	**Profit (Rs.)**
2023	2,06,000
2024	90,000
2025	80,000

Total	**3,76,000**
Average Profit	376000/3 = 125333
Step 3: Capitalized Value	
Company transfers 25% to General Reserve	25% of 125333 = 31333
Maintainable Profit:	94000.00
Step 3: Capitalized Value	
Capitalised Value at 10% Noramal Rate of Return	**94000X100/10 = 940000**
Step 4: Value per Share	
940000/4000	235

(C) Fair Value Method

$$\textbf{Fair Value} = \frac{\textbf{Net Asset Value per Share} + \textbf{Yield Value per Share}}{\textbf{2}}$$

$$\textbf{Fair Value} = \frac{\mathbf{134.75 + 235}}{\mathbf{2}}$$

$$= \frac{\mathbf{369.75}}{\mathbf{2}}$$

$$= \boldsymbol{Rs.}\ \mathbf{184.88}$$

3. **Prepare liquidators final statements of account**

Particulars	Rs.	Particulars	Rs.
To Land & Buildings	4,00,000	By Secured Loan (Mortgage on Land & Building)	2,00,000
To Plant & Machinery	10,00,000	By Cash – Assets Realised:	
To Patents	1,60,000	Land & Building	4,80,000
To Stock	2,20,000	Plant & Machinery	8,00,000
To Debtors	4,40,000	Patents	1,20,000
To Liquidation Expenses	43,600	Stock	2,40,000
To Liquidator's Remuneration	57,000	Debtors	3,20,000
To Preferential Creditors	60,000		
To Unsecured Creditors	3,80,000		
To Preference Shareholders	8,96,000		
Loss on Realisation transferred to Equity Shareholders A/c	**2,63,400**		
Total	**34,20,000**	**Total**	**34,20,000**

Working Note:

1. **Total Current Assets Realised**

Assets	Rs.
Land & Building	4,80,000
Plant & Machinery	8,00,000
Patents	1,20,000
Stock	2,40,000
Debtors	3,20,000
Cash at Bank	1,00,000
Total	**20,60,000**

2. Liquidator's Remuneration

(a) On Assets Realised

Liquidator gets 3% on assets realised excluding cash.

$$(4{,}80{,}000 + 8{,}00{,}000 + 1{,}20{,}000 + 2{,}40{,}000 + 3{,}20{,}000) \times 3\%$$
$$= \mathbf{19,60,000 \times 3\% = 58,800}$$

(b) On Distribution to Unsecured Creditors

Unsecured creditors paid = Rs. 3,80,000

$$3{,}80{,}000 \times 2\% = 7{,}600$$
$$3{,}80{,}000 \times 2\%$$

Total remuneration: $\mathbf{58,800 + 7,600 = 66,400}$

Cash Available Statement:

Particulars	Rs.
Total Cash Available	20,60,000
Less: Secured Loan	2,00,000
Less: Preferential Creditors	60,000
Less: Liquidation Expenses	43,600
Less: Liquidator's Remuneration	66,400
Less: Unsecured Creditors	3,80,000
Balance available for Preference Shareholders & Equity Shareholders	13,10,000

Preference Shareholders

Preference Capital = $\mathbf{8,000 \times 100 = 8,00,000}$

Arrears of Dividend= $\mathbf{8,00,000 \times 6\% \times 2\ years = 96,000}$

Total Preference Shareholders Claim $\mathbf{8,00,000 + 96,000 = 8,96,000}$

$$\mathbf{8,00,000 + 96,000}$$

Amount Available for Equity Shareholders = $\mathbf{13,10,000 - 8,96,000 = 4,14,000}$

Total Paid-up Equity Capital:

Shares	**Paid-up Value**	**Amount**
4,000 shares @ Rs.75	75	3,00,000

12,000 shares @ Rs.60	60	7,20,000
Total		**10,20,000**

4. Explain the role and significance of corporate social responsibility report

Role of CSR Report

1) **Promotes Transparency:** CSR reports provide clear information about the company's social and environmental activities. It helps stakeholders understand how responsibly the company operates.
2) **Enhances Corporate Image:** A good CSR report improves the reputation and goodwill of the company by showing its commitment to society and sustainable development.
3) **Builds Stakeholder Confidence:** Investors, customers, employees, and the public gain trust in the organization when the company reports its ethical and responsible practices.
4) **Measures Social Performance:** CSR reporting helps companies evaluate and monitor the effectiveness of their social welfare and environmental programs.
5) **Ensures Accountability:** The report makes the company accountable for its actions toward society and the environment.
6) **Helps in Decision Making:** Management can use CSR reports to plan future social responsibility activities and improve sustainability practices.
7) **Compliance with Legal Requirements:** Many countries, including India, require certain companies to spend on CSR activities and disclose them in annual reports under the Companies Act 2013.

Significance of CSR Report

1) **Improves Brand Value:** Companies engaged in CSR activities gain customer loyalty and a positive public image.
2) **Attracts Investors:** Investors prefer companies that follow ethical business practices and contribute to sustainable development.
3) **Employee Motivation and Retention:** Employees feel proud to work for socially responsible organizations, leading to higher morale and reduced employee turnover.
4) **Encourages Sustainable Development:** CSR reports highlight initiatives related to environmental protection, education, health care, and community development.
5) **Better Relationship with Society:** CSR activities help organizations maintain healthy relations with local communities and society at large.
6) **Competitive Advantage:** Companies with strong CSR practices may gain an advantage over competitors in the market.
7) **Risk Management:** CSR reporting helps identify environmental and social risks and encourages responsible business behavior.

PART – B

Answer any THREE of the following questions: (3x10=30)

5. **What is liquidation**

Liquidation is the legal process of closing down a company by selling its assets and using the proceeds to pay off liabilities and creditors. After settling all obligations, the remaining amount, if any, is distributed among shareholders, and the company is dissolved.

Explain the need for liquidation.

1) **Continuous Losses:** When a company suffers continuous losses and is unable to earn sufficient profits, liquidation becomes necessary to avoid further financial burden.
2) **Insolvency:** If the company cannot pay its debts or liabilities on time, it may be declared insolvent and forced into liquidation.
3) **Lack of Funds:** A company may not have enough working capital or financial resources to continue its operations effectively.
4) **Completion of Objectives:** Some companies are formed for a specific project or objective. After achieving the objective, the company may go into liquidation.
5) **Legal Requirements:** A court or government authority may order liquidation due to violation of laws, fraudulent activities, or failure to comply with statutory requirements.
6) **Internal Disputes:** Serious disputes among shareholders, directors, or partners may make the continuation of business difficult, leading to liquidation.
7) **Business Obsolescence:** Technological changes, reduced demand, or outdated products may make the business unviable.
8) **Reconstruction or Merger:** Sometimes liquidation is undertaken as part of business reorganization, reconstruction, amalgamation, or merger.
9) **Economic Recession:** Adverse economic conditions, market decline, or heavy competition may force the company to close down.
10) **Voluntary Decision:** Shareholders may voluntarily decide to wind up the company if they believe continuing the business is not beneficial.

6. Explain the components of corporate financial report.

A Corporate Financial Report is a report prepared by a company to provide financial and non-financial information to shareholders, investors, creditors, government, and other stakeholders. It helps users understand the financial performance and position of the company.

1) **Financial Statements:** These are the main parts of the report and include:
   a. Balance Sheet
   b. Statement of Profit and Loss
   c. Cash Flow Statement
   d. Statement of Changes in Equity

   These statements show the financial position, profitability, and cash movements of the company.

2) **Notes to Accounts:** Notes to accounts provide additional explanations regarding accounting policies, depreciation methods, contingent liabilities, inventory valuation, and other important disclosures.
3) **Directors' Report:** This report is prepared by the Board of Directors and contains information regarding company performance, dividend policy, future plans, and important business developments.

4) **Auditor's Report:** The auditor gives an independent opinion on whether the financial statements show a true and fair view and whether they comply with accounting standards and legal requirements.
5) **Corporate Governance Report:** This report explains the company's governance practices such as board composition, committees, internal control systems, and ethical standards followed by the company.
6) **Management Discussion and Analysis (MD&A):** This section contains management's analysis of financial performance, risks, opportunities, market conditions, and future prospects of the business.
7) **Corporate Social Responsibility (CSR) Report:** It provides details of the company's social welfare and environmental protection activities undertaken for society.
8) **Sustainability Report:** This report explains the company's efforts towards sustainable development, environmental conservation, and social responsibility.
9) **Shareholder Information:** It includes information relating to share capital, dividend, annual general meeting, shareholding pattern, and stock exchange details.

7. Explain the factors influencing valuation of shares

Share valuation means determining the fair value or market value of a company's shares. The value of shares is influenced by several financial and non-financial factors.

1) **Profit Earning Capacity:** The profitability of the company greatly influences the value of shares. Higher and stable profits increase the value of shares.
2) **Dividend Policy:** Companies paying regular and higher dividends generally have higher share values because investors prefer steady income.
3) **Net Assets of the Company:** The value of assets owned by the company after deducting liabilities affects share valuation. Higher net assets increase the value of shares.
4) **Goodwill and Reputation:** A company with strong goodwill, brand image, and market reputation enjoys better investor confidence, increasing share value.
5) **Market Conditions:** General economic and stock market conditions influence share prices. Favorable market conditions increase share values.
6) **Future Growth Prospects:** Companies with good future growth opportunities and expansion plans attract investors and command higher share values.
7) **Nature of Business:** The type and stability of the business influence valuation. Companies in stable and growing industries usually have higher valuation.
8) **Capital Structure:** A balanced capital structure with proper debt-equity ratio positively affects share value. Excessive debt may reduce valuation.
9) **Management Efficiency:** Efficient and experienced management improves company performance and increases investor confidence.
10) **Demand and Supply of Shares:** The market demand and supply of shares directly affect their value. Higher demand leads to higher share prices.
11) **Government Policies:** Tax policies, legal regulations, and government economic policies influence company performance and share valuation.
12) **Risk Factors:** Business risk, financial risk, and market risk affect investor expectations and therefore influence the value of shares.

8. Calculate the valuation of goodwill on the basis of 5 years purchase under Super profit method

Year	Profit (Rs.)
2021	80,000
2022	90,000
2023	87,000
2024	1,07,000
2025	1,16,000
Total	**4,80,000**

$$\text{Average Profit} = \frac{\mathbf{4,80,000}}{\mathbf{5}} = \mathbf{96,000}$$

Step 2: Calculate Normal Profit

$$\textbf{Normal Profit} = \textbf{Capital Employed} \times \textbf{Normal Rate of Return}$$
$$= \mathbf{5,00,000 \times 15\% = 75,000}$$

Step 3: Calculate Super Profit

$$\textit{Super Profit} = \textit{Average Profit} - \textit{Normal Profit}$$
$$\textit{Super Profit} = \mathbf{96,000 - 75,000 = 21,000}$$

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Goodwill = Super Profit × Number of Years' Purchase

$$= \mathbf{21,000 \times 5}$$
$$= \boldsymbol{Rs.\ 1,05,000}$$

9. ***Calculate the Valuation of shares under Yield method.***

Step 1: Calculate Average Profit

Year	Profit (Rs.)
1st Year	45,000
2nd Year	60,000
3rd Year	55,000
Total	**1,60,000**

$$\textit{Average Profit} = \frac{\mathbf{1,60,000}}{\mathbf{3}} = \mathbf{53,333}$$

Step 2: Expected Profit After Tax

Expected Profit before Tax = Rs. 1,60,000

Tax @ 50% = $1{,}60{,}000 \times 50\% = 80{,}000$

Profit after Tax: $1{,}60{,}000 - 80{,}000 = \mathbf{80,000}$

Step 3: Transfer to General Reserve

Transfer to Reserve = 20% of Profit after Tax

$$80{,}000 \times 20\% = 16{,}000$$

Maintainable Profit: $80{,}000 - 16{,}000 = \mathbf{64,000}$

Step 4: Preference Dividend

Preference Share Capital = Rs. 2,50,000

Dividend @ 6% = $2{,}50{,}000 \times 6\% = 15{,}000$
Profit available to Equity Shareholders: $64{,}000 - 15{,}000 = \mathbf{49{,}000}$

Step 5: Capitalized Value of Equity Shares
Expected Earnings Rate = 10%

$$Capitalized\ Value = \frac{49{,}000 \times 100}{10} = \mathbf{4{,}90{,}000}$$

Step 6: Value per Equity Share
Number of Equity Shares = 40,000

$$Value\ per\ Share = \frac{4{,}90{,}000}{40{,}000} = \boldsymbol{Rs.}\ \mathbf{12.25}$$

PART – C

Answer any FOUR of the following questions: (4x05=20)

10. Write a note on Partnership deed:

A Partnership Deed is a written agreement among partners that contains the terms and conditions governing the partnership business. It defines the rights, duties, responsibilities, profit-sharing ratio, capital contribution, interest on capital, drawings, admission and retirement of partners, and other rules relating to the partnership.

Contents of Partnership Deed

1) Name and address of the firm
2) Names and addresses of partners
3) Capital contribution of partners
4) Profit and loss sharing ratio
5) Interest on capital and drawings
6) Salary or commission to partners
7) Duties and powers of partners
8) Rules regarding admission, retirement, and dissolution

11. State the factors affecting valuation of goodwill

1) Profit earning capacity of the business
2) Nature and type of business
3) Reputation and brand image
4) Location of business
5) Efficiency of management
6) Quality of products and services
7) Market competition
8) Customer loyalty
9) Future growth prospects
10) Economic and government policies

12. What are the characteristics of corporate financial report

1) Provides financial information about the company
2) Prepared according to accounting standards
3) Helps stakeholders in decision making
4) Contains both financial and non-financial information

5) Ensures transparency and accountability
6) Includes audited financial statements
7) Shows true and fair view of business operations
8) Useful for investors, creditors, and government authorities

13. State the legal provisions for liquidation

1) Appointment of liquidator
2) Realisation of company assets
3) Payment of liabilities and creditors
4) Settlement of legal claims
5) Preparation of liquidator's final statement
6) Distribution of surplus among shareholders
7) Dissolution of company after completion of winding up
8) Protection of creditors' and shareholders' interests

14. Who are the users of corporate financial report

1) Shareholders – to know profitability and dividend position
2) Investors – to make investment decisions
3) Creditors and lenders – to assess repayment capacity
4) Management – for planning and control
5) Government – for taxation and regulation
6) Employees – to know stability and growth of company
7) Customers – to assess reliability of the company
8) Researchers and analysts – for study and analysis

15. Write a note on Super profit method

Super Profit Method is a method of valuing goodwill. Under this method, goodwill is calculated based on the excess profit earned by the business over the normal profit.

Super Profit=Average Profit−Normal Profit

Goodwill = Super Profit × Years' Purchase

Advantages

- Considers actual earning capacity
- Scientific and widely used method

Disadvantage

- Difficult to estimate future profits accurately.